

included exchange-traded funds and all share classes of open-end funds. It did not include money market funds. About 70 percent of those funds were equity-based investments, and the remaining were bonds funds, balanced funds, currency and commodity funds. The average annual expense ratio for all funds was 1.4 percent. Slightly less than half the listed funds were pure no-load, which means that they charge no front-end sales charge, back-end sales charge, or level loads charged each year. Only about 4,500 funds were no-load and also had no 12b-1 fee. A 12b-1 fee is part of the expense ratio that is paid out to a brokerage firm or financial advisor. It frequently substitutes for a commission in no-transaction fee brokerage account programs such as Schwab's Mutual Fund Marketplace.

Fund expenses have a direct and negative effect on fund performance. It does not matter how you pay the fee; in aggregate, fees are bad. The more you pay, the less you will earn in return. Don't pay a lot of money for the hope of high returns. It is not worth the cost.

[Figure 15-1](#) compares the fee savings and five-year annualized return advantage of several Vanguard index funds compared to their representative Morningstar category averages. The average fee for the Vanguard index funds was 0.2 percent, and the average fee for the categories ranged between 1.0 and 1.4 percent. In every category, the no-load index funds saved a considerable amount in fees over the category average, and this led to higher returns for index funds in every category.

Index funds have no sales commissions. However, many funds in the categories listed do charge a sales commission. In [Figure 15-1](#) commissions have not been deducted, from the five-year average. Index fund returns would have fared even better had the commissions been included in the analysis.

FIGURE 15-1
Index Fund Fee Savings and Return Advantage